AAPL

AAPL · NASDAQGS TECHNOLOGY

Apple Inc.

Consumer Electronics · United States · 150,000 employees

$344.63

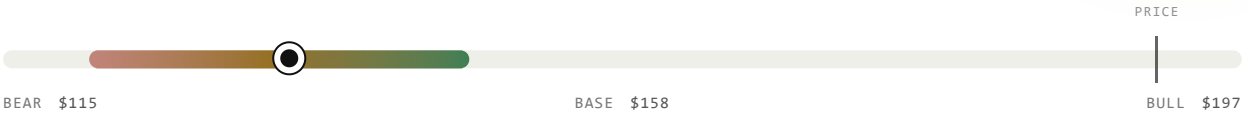
−$4.28 −1.23% today

CLOSED · 04:00 AM · USD

BLENDED INTRINSIC VALUE

$158.35

OVERVALUED · High confidence · 87 · Trading **54.1% above** the blended value

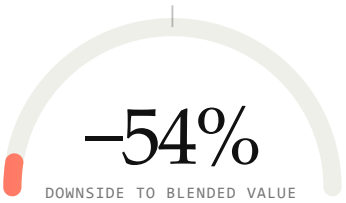


PRICE / BLENDED VALUE	MODELS IN BLEND	MARKET CAP
2.18×	6 / 7	$5.03T

Dividend model shown but not weighted: payout is too low.

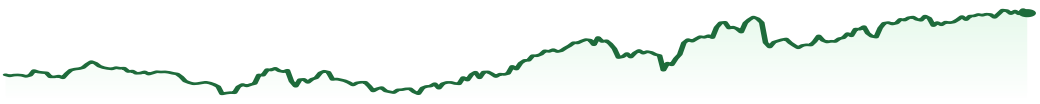
THE MARKET'S VERDICT

LIVE



CURRENT PRICE	52-WEEK RANGE
$344.63	$243 – $352
P/E · FWD P/E	**FCF YIELD**
39.5× · 36.1×	2.7%

12 MONTHS



STREET TARGET

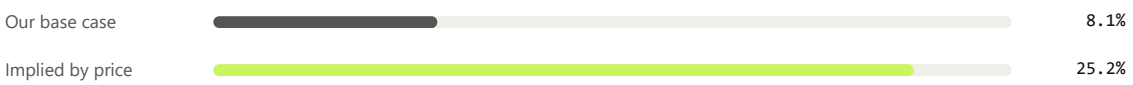
$332

−3.6% vs price

REVERSE DCF · WHAT IS ALREADY PRICED IN?

The market expects 25.2% growth.

The market expects faster growth than our 8.1% base case.



SIX INDEPENDENT LENSES (+ A SEVENTH WHEN DIVIDENDS MATTER)

The same business, valued differently.

01 CASH FLOW · HIGH

Discounted cash flow

Projects the free cash the business produces, fades growth to a steady rate, and discounts it back to today.

$174.92 −49.2%

33% weight — Base case

02 EARNINGS · MEDIUM

Earnings power value

Values the business as if growth stopped tomorrow: normalized after-tax operating earnings capitalised at the cost of capital.

$70.18 −79.6%

18% weight — Base case

03 RELATIVE · MEDIUM

Peer P/E

Applies a median price-to-earnings multiple to current EPS. A market shortcut, not an intrinsic truth.

$204.30 −40.7%

22% weight — Base case

04 RELATIVE · MEDIUM

EV / EBITDA

Compares enterprise value with operating cash earnings, then backs out net debt to reach equity value per share.

$177.67 −48.4%

13% weight — Base case

05 EARNINGS · LOW

Revised Graham formula

Benjamin Graham's growth-adjusted earnings formula, updated with a current AAA corporate bond yield.

$188.92 −45.2%

9% weight — Base case

06 BALANCE SHEET · LOW

Graham number

A defensive asset-and-earnings cross-check: the maximum price Graham's rules would pay for current earnings and book value.

$38.00 −89.0%

4% weight — Base case

07 CASH FLOW

LOW

Dividend discount

Values a shareholder's stream of dividends directly, using a two-stage model and the cost of equity.

$20.75 not in blend

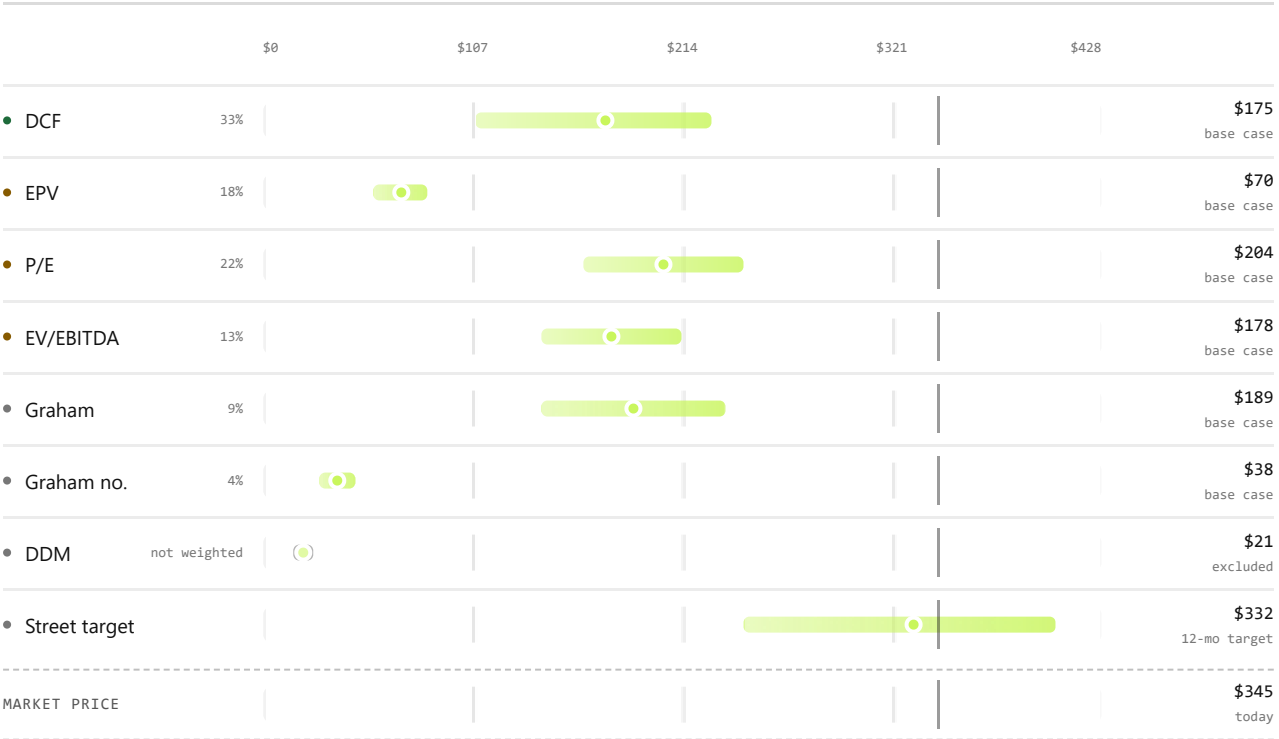
Not weighted — Base case

FOOTBALL FIELD

The range of reasonable answers.

HIGH CONFIDENCE · MEDIUM · LOW

MARKET PRICE



Bars show each model's bear-to-bull range. Dots mark the base case. A model with no dot is excluded from the blend. The market price is today's quote.

LIVE PEER GROUP

6 peers

Technology peers, side by side.

Live sector peers, median multiples and AAPL in one place. This is the peer set behind the P/E and EV/EBITDA lenses.

P/E	EV / EBITDA	P / B
39.5× vs 23.4×	30.1× vs 15.6×	46.8× vs 8.6×
+69% vs peers	+93% vs peers	+446% vs peers

COMPANY	MARKET CAP	P/E	EV / EBITDA	P/B
AAPL Apple Inc.	$5.03T	39.5×	30.1×	46.8×
NVDA NVIDIA Corporation	$4.94T	25.9×	21.0×	31.4×
MSFT Microsoft Corporation	$3.88T	27.3×	17.4×	8.8×
AVGO Broadcom Inc.	$1.56T	41.6×	30.4×	19.1×
ORCL Oracle Corporation	$396.13B	20.5×	13.8×	9.3×
CRM Salesforce, Inc.	$188.61B	21.0×	13.4×	3.2×
ADBE Adobe Inc.	$97.39B	14.0×	9.6×	8.4×
PEER MEDIAN N=6	—	**23.4×**	**15.6×**	**8.6×**

6 live sector peers; medians exclude loss-makers and extreme multiples. · 6 P/E observations · 6 EV/EBITDA observations · 4 P/B observations · P/B is shown for reference; it is not weighted for operating companies.

INTERACTIVE DCF

Change the story. Watch the value move.

DCF VALUE PER SHARE

$174.92

-49.2% versus market price

ENTERPRISE VALUE

$2.57T

EQUITY VALUE

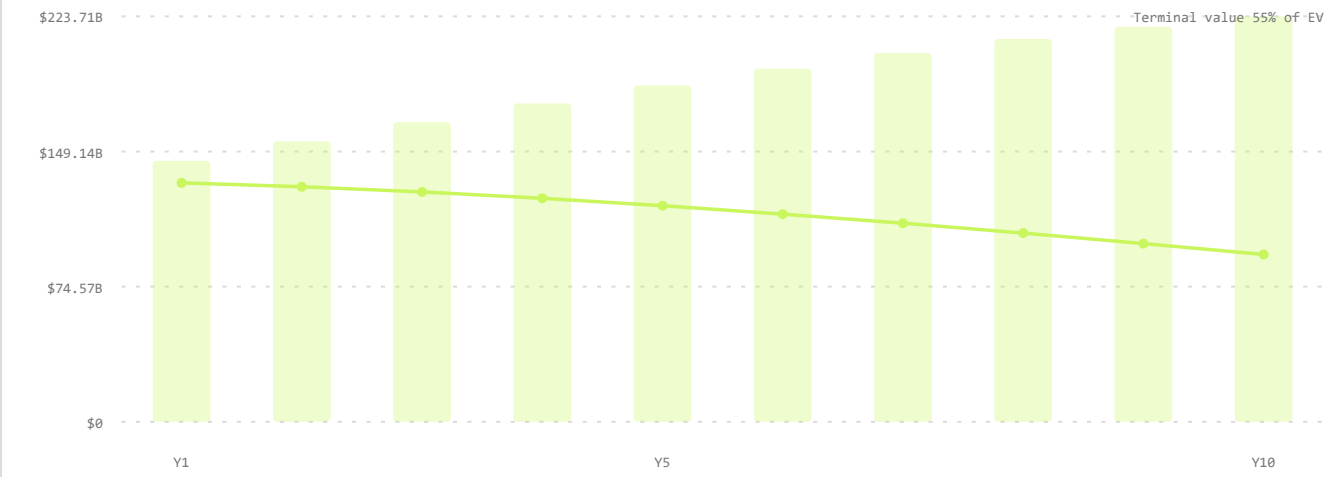
$2.55T

TERMINAL VALUE SHARE

55%

STARTING FCF

$133.28B



Growth **8.1%** FCF margin **28.5%** WACC **9.3%** Terminal **2.6%** Horizon **10 years** SBC **deducted**

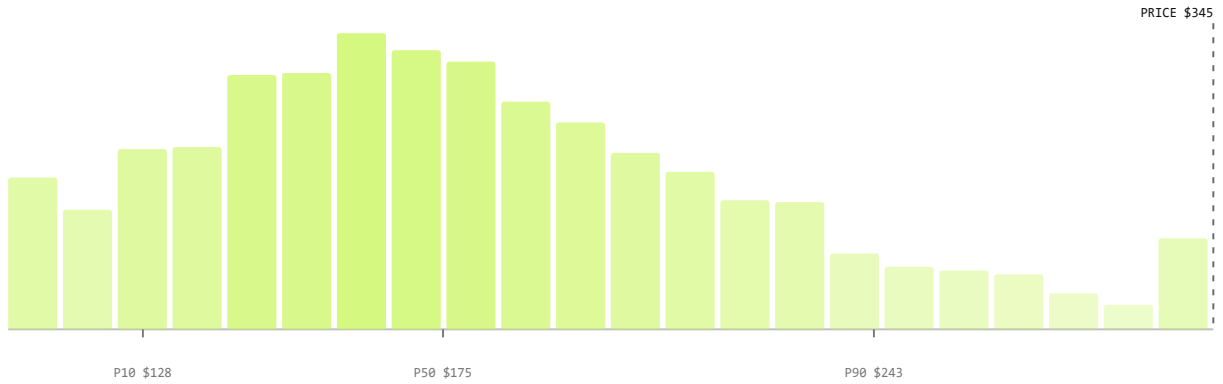
NOMINAL FCF PRESENT VALUE TERMINAL VALUE SHARE

MONTE CARLO

1,800 paths

If we are wrong, how wrong?

We randomly vary growth, margin, discount rate and terminal growth around the base case. This is a distribution of DCF outcomes, not a probability of future returns.



P10	MEDIAN	P90	ABOVE PRICE
$128	$175	$243	0.4%

BUSINESS QUALITY

A wonderful business at the wrong price is still a bad investment.

87 /100

ELITE

Exceptional economics. Return on equity is 148.8%, and the business converts profit into cash. The risk is the price, not the machine.

Pricing power · Cash generative · Growing demand · High returns on capital

Return on equity	148.8%	Operating margin	32.6%
Revenue growth	16.4%	FCF margin	29.3%
Net debt / EBITDA	0.1×	FCF conversion	106%

RED FLAGS

✓ No red flags in the metrics we track. That does not mean the business is risk-free.

THE EVIDENCE

Show your work.

How the blend is built

6 lenses · 100% allocated

Weights reflect how much each lens can be trusted for this business. A bank and a software company are not valued the same way.

Discounted cash flow	33%	$175
Sector P/E	22%	$244
Earnings power value	18%	$70
EV / EBITDA	13%	$229
Revised Graham formula	9%	$189
Graham number	4%	$38

DCF anchors the blend. Relative multiples fall back to static sector benchmarks because no live peer set was available. Dividend discount is excluded because the payout is immaterial.

CONFIDENCE IN THE BLEND

The lenses agree, the data is complete, and the DCF is not relying on an extreme terminal assumption.

87 /100

- 6 of 7 lenses are applicable and weighted.
- The lenses cluster around the blend; dispersion is 33% of value.
- DCF terminal value is 55% of enterprise value.
- 6 live sector peers inform the relative multiples.

Street view

38 ANALYSTS

$332 mean target

-3.6%



BUY 2.23 / 5 consensus score

Sell-side targets are 12-month price expectations, not intrinsic value. Shown as context, never included in the blend.

VALUATION TRIGGER

The market is already above our blended value. Waiting for a 20% margin of safety implies a price below **$127**.

WHAT WOULD CHANGE OUR MIND

The three variables that matter most.

01

The growth gap

The market is pricing in 25.2% starting FCF growth; our base case is 8.1%. That gap is the single most important debate.

02

Terminal value dependence

55% of the DCF's enterprise value sits in the terminal value. A 0.5% change in WACC or terminal growth moves the answer materially.

03

The price you pay

The blend is $158 per share. A 20% margin of safety implies $127; today's price is $345.